

UW ECONOMICS SOCIETY

HOME ABOUT US EXECUTIVE TEAM ORIGINAL CONTENT FEATURES STAY CONNECTED



 Adshake
Kunanithy
Adshake
Kunanithy

ORIGINAL ARTICLES March 14, 2021 □ No comments

Agriculture, The Seed Of The World's Economy

Written by: Adshake Kunanithy

September 20, 2020. The spark of one of the world's largest protests. As the world witnesses the march of justice for over 250 million farmers who have traveled to New Delhi. Shouting, holding banners, blocking highways near the city, and protecting themselves from the police force. 200+ activists detained and 248 farmers dead (11).

On September 20, 2020, the Indian government implemented new regulations that heavily impacted the agriculture industry and the livelihood of farmers. In anger and thirst for justice, farmers across all states of India continue their protest 7 months later, waiting for the government to hear their voices.

Can Money Grow From Trees Or In This Case, Commodities?

To begin, the agriculture industry in India has a market value of USD \$276.7 billion (CAD \$350.3 billion) and represents 18% of India's GDP (13). It consists of the following sectors: farming, agriculture equipment, fertilizers, pesticides, warehousing, cold chain, food processing, dairy market, floriculture, apiculture, sericulture, seeds, fisheries, poultry, animal husbandry, animal feed, and bio-agriculture (8).

From these sectors, farming represents the majority of the market share with 58% of the population relying on the occupation as a source of income (9). India is known for its enriched land and its variety of crops due to its 15 agro-climatic zones.

Having unique weather patterns and soil types across the state have allowed India to have a competitive advantage when it comes to trade. In fact, they are one of the 15 leading exporters of agricultural products (9), producing 291.91 million tonnes in total foodgrain in 2019-20. The country's top products are milk, spices, pulses, tea, cashew and jute while their other popular products include rice, wheat, oilseeds, fruits, vegetables, sugarcane and cotton (12). In recent years, they exported cereals (rice, grain, etc) worth \$7.1 billion, seafood worth \$6.3 billion and cotton worth \$6.0 billion (7).

However, the promising values mentioned above fail to portray the conditions of farmland and the pain of India's own farmers. More than 86% of these farmers are from rural areas and own less than 5 acres of land (10). They live in poverty and daily face several problems: the lack

of land available, low access to credit, low wages, little agriculture innovation, poor infrastructure, unpredictable weather and more (12).

(2)

Farmers' Suicide Should Not Be Normalized.

With the lack of support from the government, problems continue to pile up and leave farmers with no choice, but to take extreme measures. In desperation, many take their own lives so their family can get relief from the government. Low wages and little agriculture innovation are two major factors that lead to poverty within the farmers' community (3).

Monthly earnings for farmers depend on the state they reside in. Punjab and Haryana make the highest amount while Uttar Pradesh and Andhra Pradesh generate the lowest income. When looking at the monthly earnings of agriculture households, income ranged from about \$115.25 to \$399.80 in 2017. On average, it was estimated to be around \$154.35 per month which further highlights the inequality in income distribution. In rural parts of India, the monthly wage decreases further, resulting in an average of \$139.28 per month (14).

Most of their revenue comes from selling their commodities to private traders or procurement agencies. Private traders tend to charge farmers high commission rates in order to bring their products to local supermarkets while procurement agencies offer them the minimum value price. The minimum value price (MVP) is the least amount of money the government is willing to spend for each commodity. If lowered, it would result in a loss for the farmers. Sales costs, farming costs and equipment costs are just some of the many costs that pile up for households.

With global warming being a prominent issue, a lot of farmers struggle to produce enough crops to feed their families and sell to other buyers. To combat this issue, they rely on banks or other sources of debt financing to invest in proper infrastructure. According to the National Sample Survey Office, 50% of Indian farmers are in debt. Even with the support of the banks, it is difficult to grow a livelihood in the agriculture industry as interest becomes another cost. With all these expenses ranking up, families do not even have the resources to fund for education, medical treatment and other life necessities (5).

(1)

#FarmersProtest #SpeakUpForFarmers #NoFarmerNoFood

The events that happened on September 20, 2020 have left the world in chaos especially for farmers in India. The Indian government passed three laws that would affect the agriculture industry: the Farmers' Produce Trade and Commerce Bill; the Farmers Agreement of Price Assurance and Farm Services Bill; and the Essential Commodities Amendment Bill.

The Farmer's Produce Trade and Commerce Bill and the Farmers Agreement of Price Assurance Bill increase trade between third-party buyers and farmers by removing the MVP. This prevents farmers from setting profitable values and increasing their wages in order to provide for their families. Without government restrictions, farmers would be forced to sell products at even lower prices, further increasing poverty rates. To add on, farmers would have to negotiate contracts between the third-party buyers for pricing agreements. Farmers would struggle to compete with corporations as they believe that they have lower bargaining power. By placing contracts as well, farmers have a lower chance of winning lawsuits in court and some cannot afford their rights.

Finally, the Essential Commodities bill is set to reduce popular commodities like cereals, pulses and onions, the same commodities that the country is known for. The government wants to use cold storage methods to keep crops in proper conditions for long periods, and help farmers with the transportation process. Rural communities are left to suffer as most of them grow these commodities and need to face the challenges of competing with private investors.

All these new laws open the agriculture industry to privatization since corporations can fight for even lower prices in hopes to make large profits. Privatization would restrict access to food, increase prices at supermarkets and even more, destroy the lives of farmers. The same farmers who are already in poverty, struggling to feed their own family and continuing their ancestors' traditions. With the increasing debt, they would reach the point of losing their home and their own land to big companies (4).

Continue To Support Local Farmers Across The World

For most in the agriculture industry, farming is not just a source of livelihood, but a tradition carried by their ancestors. Understanding the care of different commodities requires a lot of talent and expertise. In recent years, the once booming industry has decreased as countries begin to explore other sectors of the economy like manufacturing and services. However, it is important to acknowledge that our farmers are a vital part of this society and without them, we would have no food on our plates. We should continue to fight for our farmers. The farmers who want to reverse and create effective laws while overall, get support from their governments.

Work Cited

Al Jazeera. (2019). Agricultural wage growth [Infographic]. Al Jazeera. <https://www.aljazeera.com/news/2019/4/19/india-elections-will-farm-crisis-be-pm-narendra-modis-undoing>

BBC. (2019). Who are India's farmers? [Infographic]. BBC News.

<https://www.bbc.com/news/world-asia-india-46640789>

Chaba, A. A. (2021, February 21). '248 farmers have died during protest against three AGRI LAWS'. The Indian Express.

[https://indianexpress.com/article/india/248-farmers-have-died-during-protest-against-three-agri-laws-](https://indianexpress.com/article/india/248-farmers-have-died-during-protest-against-three-agri-laws-7198797/#:~:text=As%20many%20as%20248%20farmers,Maharashtra%2C%20Tamil%20Nadu%20and%20Uttarakhand.)

[7198797/#:~:text=As%20many%20as%20248%20farmers,Maharashtra%2C%20Tamil%20Nadu%20and%20Uttarakhand.](https://indianexpress.com/article/india/248-farmers-have-died-during-protest-against-three-agri-laws-7198797/#:~:text=As%20many%20as%20248%20farmers,Maharashtra%2C%20Tamil%20Nadu%20and%20Uttarakhand.)

Dhaliwal, T. (2020, December 14). The uprising of India's farmers: The significance and history behind the worldwide protests. Global News.

<https://globalnews.ca/news/7518681/india-farmers-government-protests/>.

Dharni, A. (2021, January 4). Even Though We Pay A Lot, Do You Know How Much Money A Farmer Actually Makes In India? India Times.

<https://www.indiatimes.com/trending/social-relevance/how-much-do-farmers-actually-make-in-india-531102.html>.

FP Staff. (2020). Supporters of the protesting farmers marched in Kolkata on 12 Dec. AP [Photograph]. Firstpost.

<https://www.firstpost.com/india/farmers-protest-live-updates-will-make-govt-repeal-agri-laws-farmers-unions-harden-stance-agitation-enters-day-21-9115931.html>

GlobalEDGE. (2021). India: Trade Statistics. GlobalEDGE.

<https://globaledge.msu.edu/countries/india/tradestats>.

IMARC. (2020). Agriculture Industry in India: Growth and Opportunities.

IMARC. [https://www.imarcgroup.com/agriculture-industry-in-](https://www.imarcgroup.com/agriculture-industry-in-india#:~:text=The%20agriculture%20industry%20in%20India%20has%20been%20segregated%20into%2017,feed%2C%20and%20bio%2Dag)

[india#:~:text=The%20agriculture%20industry%20in%20India%20has%20been%20segregated%20into%2017,feed%2C%20and%20bio%2Dag](https://www.imarcgroup.com/agriculture-industry-in-india#:~:text=The%20agriculture%20industry%20in%20India%20has%20been%20segregated%20into%2017,feed%2C%20and%20bio%2Dag)
riculture.

India Brand Equity Foundation. (2021, February 28). Agriculture in India: Information About Indian Agriculture & Its Importance. IBEF.

<https://www.ibef.org/industry/agriculture-india.aspx>.

News Desk. (2021, January 4). Indian Agriculture problems are much deeper. The Siasat Daily. <https://www.siasat.com/indian-agriculture-problems-are-much-deeper-2060191/>.

Red Fort violence: Delhi police detain 200 after Farmer protests. BBC

World News. (2021, January 27). <https://www.bbc.com/news/world-asia-india-55817628>.

Sharma, M. (2021, February 4). The future of Indian agriculture. Down To Earth. <https://www.downtoearth.org.in/blog/agriculture/the-future-of-indian-agriculture-75384>.

Statista Research Department. (2021, January 8). Agriculture in India – statistics & facts. Statista. <https://www.statista.com/topics/4868/agricultural-sector-in-india/#:~:text=The%20agriculture%20sector%20is%20one,18%20percent%20to%20India's%20GDP>.

TIMESOFINDIA.COM. (2020, December 18). Farm income, MSP, row over new laws: All explained in 5 charts. The Times of India. <https://timesofindia.indiatimes.com/india/farm-income-msp-row-over-new-laws-all-explained-in-5-charts/articleshow/79798223.cms>.

□ **Banner**

□□□□□

Previous Post

Economics Newsletter – Week of
March 8th 2021

Next Post

Economics Newsletter – Week of
March 22nd 2021

Leave a Reply

Your email address will not be published. Required fields are marked *

COMMENT



NAME *

EMAIL *

WEBSITE

POST COMMENT

☐

NOTIFY ME OF FOLLOW-UP COMMENTS BY EMAIL.

☐

NOTIFY ME OF NEW POSTS BY EMAIL.

Copyright 2026 UW Economics Society